

MFIC pitch deck

PITCH — MFIC — VERDICT

ADJUDICATED 2026-08-17 — WATCH

(MidCap Financial Investment Corporation, NASDAQ: MFIC. Adjudicator conviction 8/10. No position held, no orders working. Last price \$9.815, book value per share \$13.37 as of 6/30/26 — a 27% discount. This is a “watch, don’t buy” verdict, and the reason is not that the company is bad.)

What we believe

MFIC is a business development company: a listed fund that lends to mid-sized private companies, borrows about \$1.7 billion against \$1.1 billion of shareholder equity, and passes the interest through as a dividend. It trades at \$9.815 against a stated book value of \$13.37 — a 27% discount, and near the bottom of its one-year range (\$9.19–\$12.26).

We believe the book is honestly marked. That is the unusual finding here, and it survived a hostile bench. Four independent tests point the same way:

1. The manager’s incentive fee is **\$0** this quarter, versus \$3.85 million in the same quarter last year, because the fee arrangement subtracts unrealized losses before the manager gets paid. It is binding right now, in cash.
2. The part of the portfolio the manager values with the most discretion — the companies it controls — was written **down 13 points in two quarters**, from 107.4% of cost at 12/31/25 to 94.3% at 6/30/26. Managers who are hiding losses do not mark their own least-observable assets down first.
3. On Galaxy Universal, a loan MFIC shares with a competitor (FSK), **MFIC marks it lower** — 94.8 versus FSK’s 97.3 — and moved its own mark down 3.3 points to get there.
4. Payment-in-kind interest (interest paid in more paper rather than cash, the classic way a credit fund flatters earnings) is **13.0% of net investment income and falling**, the lowest in its peer group, while NMFC sits at 41.8% and FSK at 34.9% and both are rising.

We also believe the balance sheet is not breaking. The scary version of this story — “it runs out of cushion in four quarters” — is arithmetically wrong, and it was our own analyst who got it wrong (see the table below).

And we believe there is one real, specific problem. Loans that stop paying are supposed to show up in the “non-accrual” statistic, which MFIC reports at 4.6% of cost. But over six months the cost basis of MFIC’s *affiliated* holdings rose 20.1% (\$177.0M → \$212.5M) as troubled credits were restructured — moved out of the non-accrual bucket and into the affiliated bucket, sometimes with fresh money attached. The 4.6% is a true number measured against a population that is quietly draining. Separately,

the loans that *are* on non-accrual are carried at **54.9 cents on the dollar**, the least written down of any comparable fund we track (TCPC carries its at 19.4 cents), and that figure is falling from 61.8 cents — the pattern of ongoing writedowns rather than recoveries.

Net: an honest manager running a shrinking book at a wide discount, with one statistic we can't fully trust and no reason for the discount to close on any date we can name.

What the market believes

Eight analysts cover MFIC. The consensus rating is **Hold** and the consensus price target is **\$10.50** — about 7% above today's price. That is the external number this pitch has to beat, and it is worth stating plainly that we do *not* beat it by much.

The market's implied view is: the discount is real but deserved, because the portfolio is shrinking (fair value \$3.33B → \$2.77B over five quarters, -16.8% year over year), only \$6 million of new commitments were made in the quarter with **zero new borrowers added**, and total return on book value over the last twelve months was approximately **zero**. Book value went \$14.75 → \$13.37 over the year while the dividend was cut from \$0.38 to \$0.31. The market is pricing a fund that returns your capital slowly and loses a bit on the way.

Our disagreement with the street is narrow and honest: we think the *quality* of the marks is better than the discount implies, but we do not have a mechanism that turns that into a price move on a date. A 27% discount on a fairly-marked book is not the same thing as 27% of upside.

Why we might have edge

- **We tested mark integrity four different ways, including against a competitor's mark on the identical loan.** That comparison (94.8 vs 97.3 on Galaxy Universal) is not in any sell-side note we saw. It is the single strongest piece of evidence that the stated \$13.37 is a real number.
- **We named the laundering mechanism.** "Restructure a bad loan, reclassify it as affiliated, and the non-accrual percentage improves without any credit improving" is a repeatable trick. We now have it written down as a detector with the exact test (compare the non-accrual delta to the affiliated-cost delta in the same period). Anyone reading only the 4.6% headline is reading a drained denominator.
- **The dividend cut was the right move and the market treated it as bad news.** Cutting \$0.38 → \$0.31 restored coverage to roughly 126% of earnings. Funds that under-earn their dividend and don't cut are the ones that eventually break.
- **The fee cap is binding at zero.** Most BDC investors treat manager alignment as boilerplate. Here it is currently costing the manager real money.

Why it might be priced in

Symmetrically, here is why we may have nothing:

- **This is covered paper, not a forgotten stock.** Eight analysts publish on it. The \$10.50 target is only 7% away. We are not finding something nobody looked at; we are disagreeing modestly with people who look at it every quarter.
- **The tape has tracked book value down, it has not gapped away from it.** Down 19.9% from the high, up only 6.8% from the low. There is no dislocation event to fade — just a slow decline that matches the fundamentals.
- **Zero economic return on book over the trailing year.** If the marks are honest and the return is zero, then “honestly marked” is a description, not an edge.
- **There is no date.** No merger, no announced fee waiver, no asset sale at a stated price, no new buyback authorization. The prior repurchase program is disclosed as **fully utilized** with nothing to replace it, so the one mechanism that was mechanically adding to book value per share is spent.
- **The tax treatment is unattractive for this book.** A 12.6% gross distribution yield on a fund taxed as ordinary income becomes roughly 6.3% net at our combined rate — against a mandate built around deferral. (There is a real possibility this is better than it looks; see “What remains unverified.”)

What we checked ourselves

This section includes where **our own analysts got it wrong**, because two of the three most decisive claims in this file were errors we made, not errors the company made.

Claim	How checked	Found	Confirmed?
“Cushion to regulatory breach is ~4.5 quarters” — our red analyst’s headline kill	Recomputed from the 10-Q balance sheet using both columns, not just the current one	Debt fell \$1,995.2M → \$1,739.6M (– \$255.6M) over the same six months. Asset coverage went 165.5% → 163.3%: net assets fell 15.8% but coverage fell 2.2 points. Debt paydown regenerated \$127.8M of headroom — more than the entire credit loss. Observed burn 5.9 quarters; ex-buyback ~19	NO — OUR ERROR. Red held the debt constant while equity fell. A shrinking loan book repays debt as it shrinks, which lowers the requirement in near-lockstep. The clock is an artifact
“Mark integrity is refuted — the controlled book is marked above cost”	Read the same line at both dates	107.4% of cost at 12/31/25 → 94.3% at 6/30/26	NO — OUR ERROR, SIGN INVERTED. A 13-point markdown on the manager’s own least-observable holdings is evidence for honest marking. Red cited the endpoint and missed the direction
“Non-accruals at 4.6% of cost are undisclosed in the vetted filing” — the	Read 10-Q Note 5 directly; independently recomputed from all 598	The 10-Q states 4.6% at cost / 2.8% at fair value verbatim. Our recompute: 4.62%	NO — OUR ERROR, AND A TOOLING FAILURE PRESENTED AS A

Claim	How checked	Found	Confirmed?
<i>first</i> court's kill, since vacated	schedule-of-investments rows		COMPANY FAILURE. The analyst's document proxy truncated the filing before the notes, and it wrote that up as the issuer withholding a number. The entire first court was vacated over this. It is the second time in one day that failure mode fired
"No loss deceleration in any period cut"	Read the quarterly split	Q1 –\$61.1M, Q2 –\$50.3M: an 18% deceleration. The same analyst deducted points from its own confidence <i>for this reason</i> two paragraphs later	NO — INTERNALLY CONTRADICTIONARY. Downgraded from fatal to a data point. The level is still bad: –\$1.28 per share in the first half versus –\$0.24 a year ago
"Buyback masked 42% of the book value decline"	Recomputed from paid-in capital \$2,652.9M → \$2,545.1M	Arithmetic correct: \$107.8M repurchased, 9.84M shares, gross erosion –\$1.15/sh versus –\$0.81/sh reported	YES as measurement, NO as an indictment. Shares bought below book value add permanently to book value per share; that is a realized gain, not a mask. And with the program spent, future repayments go entirely to debt — which <i>helps</i> the cushion
"Breaching the coverage floor forces asset sales"	Checked the actual statute	Un sourced and wrong. Below 150%, §18(a)(1)(B) blocks distributions , and the fund separately must distribute 90% of taxable income to keep its tax status. That is a worse trap than forced selling, and neither analyst named it until the review	NO — OUR ERROR, and the corrected version is more dangerous. This is the tail to size against, not liquidation
"Portfolio yield fell 9.2% → 8.1%, so credit is decaying"	Attempted to decompose against the floating-rate benchmark	Could not run it — the rate series returned an error both ways this session. MFIC's book is 100% floating rate , and 110bp over a year of central-bank cuts may be entirely the index moving	UNRESOLVED. Unattributed, this is a market-wide rate move being presented as company-specific decay. Downgraded to plausible-only
Absolute earnings decline	Press release, p.4	Net investment income \$36.4M → \$32.8M (–9.9%). Per share rose \$0.39	YES. Per-share improvement here is

Claim	How checked	Found	Confirmed?
		→ \$0.40 only because the share count fell 10.7%	share shrinkage, not earning power
Payment-in-kind interest ratio vs peers	Cross-fund comparison	MFIC 13.0% of income and falling; NMFC 41.8% and FSK 34.9%, both rising	YES
Non-accrual carrying value vs peers	Cross-fund comparison	MFIC 54.9 cents, down from 61.8; TCPC 19.4c, PNNT 31.1c, FSK 47.9c, WHF 50.4c	YES, with a fair objection: MFIC is 94% first-lien with zero second-lien, so higher recovery assumptions are defensible. 54.9c is inside historical senior-secured recovery bands. But it is still the softest on the board and moving down
Affiliated-bucket migration	Balance sheet, both columns	Affiliated cost \$177.0M → \$212.5M (+20.1%) in six months, fair value down to 58.4% of cost. ChyronHego: \$60M of term debt converted to preferred	YES — the finding that survives everything. The reported non-accrual rate is measured on a leaking population
\$125M of unsecured notes maturing 7/16/26 against \$43.3M of cash	Balance sheet	Funded on the revolver. Neutral to the coverage ratio but consumes borrowing capacity	YES — and neither analyst priced it until the review
Our detector library's coverage of this security type	Ran the dispatch	14 detectors dispatched, 14 false positives — clinical-trial checks, import-customs checks, and three city building-permit checks fired on a Maryland loan fund. Zero detectors key off fund/BDC structure. Third consecutive court with this result	NO — INFRASTRUCTURE GAP. Every finding in this file came from written-down experience, not from the automated library

PROPOSED ENTRY BANDS

No entry. No position, no order, no staged ladder, at any price today. The following are the conditions under which this file reopens. They are reproduced exactly as adjudicated:

- **DATED CATALYST REQUIRED** — the binding gate, inherited from the TCPC ruling: no levered BDC enters without one. A discount alone is not a catalyst.
- **ASSET COVERAGE >= 165%** (blue's substitution for red's net-leverage tripwire — the variable that actually moved; the covenant clock red modelled is an artifact because MFIC delevers roughly as fast as it loses).
- **NON-ACCRUAL POPULATION INTEGRITY:** the 4.6%-at-cost figure is measured on a LEAKING population — affiliated cost +20.1% as restructurings move credits OFF non-accrual

and INTO the affiliated bucket (the Amplity manoeuvre). Any future non-accrual gate must be read alongside the affiliated-cost delta, or it is measuring a drained denominator.

- **Recognition depth:** non-accruals carried at 54.9c (softest in the cohort vs TCPC 19.4c) and FALLING from 61.8c — the signature of writedowns rather than cures. Watch for it to converge toward cohort norms.
- **OPEN AND UNRESOLVED:** the SOFR decomposition on the 9.2%→8.1% yield decline (FRED 403'd) — until run, an index move is being read as issuer decay; and the return-of-capital characterisation.

Plain-language version of what a qualifying catalyst would be, drawn from the analysts' own change-my-mind lists:

Trigger	Test	Meaning
New share-repurchase authorization	Disclosed by 8-K, plus asset coverage $\geq 165\%$ at the Q3 print	The accretion lever is back and the cushion regenerated without further shrinkage
Loss deceleration	Q3 net realized + unrealized loss $\leq$ \$15M (versus \$50.3M in Q2 and \$61.1M in Q1); two consecutive such quarters	The markdown cycle has actually stopped
Return to originating	New commitments $\geq$ \$150M in a quarter with ≥ 5 new borrowers	It is a credit fund again, not a runoff pool
A crystallizing event	A stated-price transaction — a fee waiver at the Apollo level, a merger, or a MidCap Financial asset purchase — announced by 8-K	The only thing that converts a 27% discount into a realized gain on a date

Sizing, if and when a gate clears: the size discussion is deferred, not pre-approved. Two constraints will bind at that point — the distribution is taxed as ordinary income against a book built for deferral (unless the return-of-capital question below resolves in our favour), and the corrected tail risk is a distribution *block* below 150% coverage, which would remove the entire retail bid at once. Both argue for a smaller position than the discount alone would suggest.

Catalyst dates: the only one on the calendar is the Q3 earnings report, estimated **2026-11-05**. That date is derived from a data vendor and is **not confirmed** — no company release names it. It is ~55 trading sessions out. It is a reporting date, not a catalyst; nothing about it is scheduled to close the discount.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.1922 (deck-provisional: 52-week low; a break re-tests whether the tape is tracking book value down or gapping away from it — i)
- filing watch: 8-K until 2027-02-13 (deck-provisional: new share repurchase authorization — restores the accretion lever red mistook for a mask)

- dated pack MFIC|2026-11-05: MFIC: estimated Q3 2026 earnings — vendor-derived, no company release names it; a reporting date, not a catalyst (date confirmed=False)
- dated pack MFIC|2026-07-16: MFIC: \$125M unsecured notes matured, funded on the revolver against \$43.3M cash — already past, coverage-neutral but capacity-consuming (dat

What remains unverified

1. **Whether the yield decline is the company or the market.** Portfolio yield fell 110bp (9.2% → 8.1%) on a 100%-floating-rate book across a year of rate cuts. Until the benchmark decomposition is run, we cannot say whether that is credit quality or simply the index. Our analyst presented it as company decay; that was not established. The data source failed this session.
2. **Whether the dividend is taxable income or return of capital.** Accumulated over-distributed earnings stand at −\$1,443.8M, which makes it plausible that a material share of distributions are basis-reducing and tax-deferred rather than ordinary income. If so, the after-tax yield is much better than the 6.3% net figure above — that figure is a worst case, not the case. Resolves on the 19-a notice / 1099-DIV.
3. **The management fee base.** Whether the base management fee is charged on gross or net assets materially changes the manager's incentive in a shrinking, leveraged fund. The relevant note was never read in full because of the fetch failure.
4. **The Q3 earnings date.** ~2026-11-05 is vendor-derived and unconfirmed by the company.
5. **How much of the affiliated bucket is restructured bad credit.** We know the cost basis grew 20.1% and that it is carried at 58.4% of cost; we have one named example (ChyronHego). We do not have the full population, and that population is the whole finding.
6. **Live pricing.** The brokerage market-data tools were permission-denied for the third consecutive review. The \$9.815 price is from the desk snapshot, not a fresh quote at the time of writing.

Primary sources: [Q2 2026 press release, 8-K Exhibit 99.1](#) (balance sheet, leverage, buyback, commitments, per-share figures — the text layer is unextractable and it had to be read as page images, which is why two analysts missed the balance sheet) · [Form 10-Q for the quarter ended 6/30/26, accession 0001193125-26-335848](#) (debt \$1,995,210k → \$1,739,604k; net assets \$1,307,261k → \$1,101,320k; cash \$98,184k → \$43,284k; cost \$3,357,770k → \$3,061,809k; NAV \$14.18 → \$13.37; shares 92,211,869 → 82,372,628; Note 5 non-accruals 4.6% at cost / 2.8% at fair value) · [Form 8-K filed 2026-08-06, accession 0001193125-26-336509](#) · Rate decomposition source [FRED SOFR](#) — returned an error both routes, unresolved.

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